

Policy related points discussed in the previous internal audit review Meetings held with MD Sir till date:-

S. No.	Discussion date	Points	Current Status as per Auditee	Implementation date
1	05/11/2016 & 05/12/2016	All the P.O. against which material/services has been used for any kind of capital expense shall be deemed as P.O. related to Capital Expenditure and approval of the same shall be taken accordingly and same shall be identified separately. Further, separate P.O. series shall be incorporate in ERP.	Effective date from 01/06/2017	01/Jun/17
2	21/05/2016	Any item issued from stores for capital expenditure will be capitalized and booked in WIP only if Special approval by CEO confirming the capital expenditure is attached. In absence of special approval the expense will be considered as repair & maintenance expense.	At the time of issue of items from stores, utilization of items may be for installation of capital assets or for repair / maintenance or any other revenue expense. If any item is to be used for installation of any asset the issue slip of such items is to be in "INST - installation" category. Such stores issues will be booked under CWIP. If items being used are not to be used in installation of any asset the issue slip will not be under INST but under other relevant revenue expenditure.	01/May/17
3	21/05/2016	Store department of all units will maintain proper record of empty gas cylinders.	Implemented U1- April'17 U2- Continue U3- May'17 U4- May'17 U5- April'17 CMRN- April'17 CMRT- April'17	U1- April'17 U2- Continue U3- May'17 U4- May'17 U5- April'17 CMRN- April'17 CMRT- April'17
4	21/05/2016	In all manpower supply contracts, ESI & PF Liability will be borne by Contractors. (i.e. Value of contracts is inclusive of ESI & PF. Now, either the same will be paid by contractor itself or CMR will pay on behalf of contractors and recover the same from contractor's bill.)	Implemented from June'16	June, 2016
5	21/05/2016	Draft new store purchase policy for proper internal control over purchasing of Store Itmes	Implemented from May'17	May'17
6	5-Jul-17	Expiry date of PO to be mandatorily mentioned on every purchase orders in ERP.	Implemented from Aug'2017	01/Aug/17
7	21/05/2016	Obtain half yearly list of slow moving & discarded items duly signed by CEO from units and ensure that proper action in regard to these items have been initiated.	Effective from June'17	Done
8	05/11/2016 & 05/12/2016	It will be responsibility of CEO to ensure that the salary & wages of on roll and contractual workers from Jan' 17 onwards shall be processed only on the basis of attendance generated through punching machine. (i.e Mega Soft) across the group.	Effective from 01/01/2017	01/Jan/17
9	05/01/2017	In case of liquid supply from CMRN and CMR-Manesar, shortage of supply should not be more than 0.2% of total supply.	Effective from 01/01/2017	05/Jan/17
10	05/02/2017	Direct Issue & Recovery of Uniforms including Shoes from Store department rather than from HR Department.	Effective from 01-03-2017	01/Mar/17
11	5-Jul-17	20 % of the Store items will be physically verify by the units in every month and variation found during the physical verification will be reoprted in monthly MRM.	Implemented	01/Jul/17
12	5-Oct-17	Every Item from store should be issue against issue slip only without any exception and also implement a system of returnable issue slip.	Without issue slip,store item will not issue any item,otherwise 10 times penalty will be imposed to the concerend person of that amount wef 09/10/2017. System for returnable issue slip has been developed on 04/12/2107 and implemented from 18/12/2107	09-10-2017,04-12-2017 and 18-12-2017

13	5-Oct-17	If purchase made without any indent then Store person shall be responsible for the items purchased and not issued till six month.	It has been implemented w.e.f. 09/10/17	09/Oct/17
14	5-Oct-17	If Items Purchased but not issued up to six month then company will impose penalty of 10% of total amount of variation on the concerned person wef 09/10/17.,	It has been implemented w.e.f. 09/10/17	09/Oct/17
15	5-Oct-17	Penalty for late deposition of ESI/PF liability after the prescribed due date by government 1.Will impose Rs 500/day penalty after due date on contractors whose salary payout is upto Rs 1 lakh. 2.Will impose Rs 1000/day penalty after due date on contractors whose salary payout is more than Rs 1 lakh	It has been implemented w.e.f. 09/10/17	09/Oct/17
16	5-Oct-17	Non deduction of meal coupons from monthly wages payment to contractor.	Will impose penalty of 10% of total amount of variation on the concerned person wef 09/10/17.	09/Oct/17
17	5-Oct-17	CEO will review the system of issuance of Shoes/Uniform from Store and implement a new strong system so that these persisting queries will not raise in future.	Will impose penalty of 10% of total amount of variation on the concerned person wef 09/10/17.	09/Oct/17